UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2020/2021

MAY 2020 TRIMESTER

FINAL ASSESSMENT

UKFF4024 MULTINATIONAL FINANCE

SATURDAY, 3 OCTOBER 2020 TIME: 8.30 AM – 12.00 PM (3.5 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONOURS)

Instructions to candidates:

REMINDER: You are reminded to read and adhere to the Final Assessment Instructions to Candidates that has been made available through the UTAR Portal before the commencement of Final Assessment (FA). The detailed instructions for this FA are as follows:

1. This Final Assessment (FA) is an Individual time restricted assessment which consists of **TWO (2)** questions. **[Q1 – 40 marks and Q2 – 60 marks].**

2. You are required to answer **ALL** questions and submit the **ANSWER SCRIPTS** by **SATURDAY, 3 OCTOBER 2020, 12.00PM**.

3. During the period of 3.5 hours of this FA, the examiner(s) can be reached at

   (a) [Microsoft Teams chat, or

   (b) Email:[ungly@utar.edu.my]

   You may use the above e-platform(s) to check with the examiner(s) if you need any clarification on this FA question paper.

4. You may refer to any books, lecture notes, published materials, online resources etc. when answering the questions. Proper referencing is necessary to avoid plagiarism. The preferred referencing style is American Psychological Association (APA) / Harvard / Chicago Manual. Candidates are reminded that **Copy-and-Paste, Consultation, Discussion and Sharing of Answers** with others are **STRICTLY PROHIBITED** in this FA.

Answer Script File

5. The answer scripts **MUST** be a **Microsoft Word file** [Compulsory for text based submission to enable Turnitin Plagiarism Check] or opt for PDF or IMAGE [for non-text / hand written submission], in A4 size format. **Note: Please keep the file size NOT exceeding 30MB.**

6. Please check your Index Number generated by the Division of Examination , Awards, and Schorlarships (DEAS). You **MUST** name your answer script file using the following file name for submission:

[Course Code]_FA_[Programme Abbreviation]_[Your Index Number]

For example, if you are from the degree programme IB, and your Index Number is A99999CBIBF, then your answer script should be named as:

UKFF4024_ FA_ IB_A99999CBIBF.doc

Answer Script File Submission

7. You are answer script file has to be submitted to the following platform(s) before the due time/date:

(a) Attach your answer script at **WBLE**
(b) Send your answer script to the course code email **[UKFF4024.FAM@utar.edu.my**]

Note: For the subject/title of your email , use the file name of your answer script i.e UKFF4024_ FA_ IB_A99999CBIBF.doc

8. Please make sure that you submit the correct, complete and final version of your answer script file and the same copy of answer script file is to be submitted to the above platform(s) to the above platform(s).When multiple answer script files are received, the examiner will randomly choose one for marking.

Contents of Answer Script

9. The **first page** of your submission is the **Final Assessment Cover Page**. You **MUST** use the template given below and fill up the following information

- Your Programme (Abbreviation)
- Your Name
- Your Index Number
- Your Student ID

10. The **second page** of your submission is the **Final Assessment Declaration Statement**. You **MUST** use the template given in **Appendix 2**, and sign on this form to indicate your authenticity of submitted work without plagiarism.

11. Each question should be answered starting on a new page. The number of pages of answer scripts is limited to **EIGHT** (8) pages**.** The **8 pages** limitation excludes cover page, declaration form and referencing pages.

12. For answer scripts that have text based answers only, all text **MUST** be typed and recommended using **Times New Roman** characters with **Font size 12**, with **1.5 line spacing and Margin 1" whole document**, except for the drawings and equations/calculations.

13. For answer scripts that require / contain drawings, equations and calculations with short text descriptions, you can handwrite your answers on a blank page and then use

the scanner apps in your smartphone (Scanner Document, CamScanner, Adobe Scanner etc.) to take a scanned copy, or you can typed if necessary and include the scanned copy taken in the Word document, as part of your submitted answers.

14. Please include a page number on each and every page of your answer script. Ensure that each page of answer scripts is in sequence prior to online submission.

WARNING OF PLAGIARISM

15. All answer scripts will be uploaded to Turnitin for similarity check. In the case of plagiarism being suspected, the evidence will be submitted to the University Examination Disciplinary Committee for further action. Disciplinary action will be taken against any candidate who is found plagiarized in the answer submitted. Hence, candidates are advised to comply strictly with the University Examination Rules and Regulations and any other guideline/policy relating to University examinations.

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All questions are COMPULSORY **[Total: 100 marks]**

Q1. Assume you are a recently appointed financial manager of a US based health care service provider. Your company has placed an order of raw materials from Malaysia for its production in the U.S. and the payment amounts to RM1,500,000. The credit period given is 60 days.You have been asked to evaluate whether the company should hedge its payables given the information below.

Current rates in the foreign exchange markets and money markets are as follows:

Spot	RM4.4300/$ – RM4.4580/$
60-day forward	50 – 60 basis points discount

Money Market	60-day Borrowing	60-day Deposit
Dollar	6.0%	4.0%
Ringgit	9.0%	7.0%

Required:

(a) Calculate total payment in U.S. dollar if the U.S. company implements forward market hedge and money market hedge respectively. (20 marks)

(b) Based on your answers in part (i) above, evaluate which is the best hedging alternative for the company. In your evaluation, suggest other factors which the company could consider in their hedging decision. (20 marks)

Q2. (a) A multinational corporation from Greatland is evaluating a project that has an initial investment of Dashland dollar (D$) 2,500,000 in an overseas market in Dashland through a joint venture. Greatland cost of capital is 16%. The current spot rate is D$2 per G$1. Interest rates in Dashland is at 7% and Greatland is 9%.

This project has a project cash flows as below:

Year	**1**	**2**	**3**	**4**
Cash flow (D$)	650,000	750,000	1,150,000	1,250,000

Required:

Calculate the Greatland dollar (G$) net present value (NPV) of the project using both the following methods:

(i) By discounting annual cash flow in Greatland dollar (G$)

(ii) By discounting annual cash flow in Dashland dollar (D$) (20 marks)

Question 2 (a) (Continued)

(iii) Assess other non financial considerations that Greatland has to consider other than the financial assessment in part (a) above.

(10 marks)

(b) The Board of Roshen Bhd would like to expand its operation by setting up a subsidiary in an overseas country. They are in the consumer products industry. Currently, the Board had made an assessment on the operating risks and the only necessary investments for now are fixed assets in the the form of land and building. The main concern of the Board is to minimize the parent company's exposure to exchange rate risk

Discuss the various options available to minimize foreign exchange risk from the aspect of (i) financing the subsidiary (ii) managing remittances to the parent company and (iii) minimizing curreny losses from operating transactions. Assumptions can be made to support your discussion.

(30 marks)

Appendix 1

UNIVERSITI TUNKU ABDUL RAHMAN
ACADEMIC YEAR 2020/2021
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ANSWER SCRIPT

Candidate is required to fill in ALL the information below:

Name : (as stated in Student Identity Card)			
Faculty /Institute/ Centre:		Programme :	
Index No. (in numbers) :		Index No. (in words) :	
Course Code :		Course Description :	
Submission Date :		Time :	

QUESTION NUMBER	**FOR EXAMINER'S USE ONLY**	
	MARKS	
	Internal	**External**
TOTAL MARKS		

UNIVERSITI TUNKU ABDUL RAHMAN

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Appendix 2

DECLARATION STATEMENT

I, _____ (Name), Student ID No. _____, hereby solemnly and fully declare and confirm that during my programme of study at Universiti Tunku Abdul Rahman, I shall abide and comply with all the rules, regulations and lawful instructions of Universiti Tunku Abdul Rahman and endeavour at all times to uphold the good name of the University.

I hereby declare that my submission for this Final Assessment is based on my original work, not plagiarised from any source(s) except for citations and quotations which have been duly acknowledged. I am fully aware that students who are suspected of violating this pledge are liable to be referred to the Examination Disciplinary Committee of the University.

Programme:	
(Digital) Signature:	
Student's I.C / Passport No.:	
Index No:	
Date of Submission:	

UKFF4024 MULTINATIONAL FINANCE

Index Number (in figure): _____ Course Code:_____ Page: ___

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Index Number (in figure): _____Course Code:_____ Page: ___

Reference page